

SUPREME COURT OF PAKISTAN

(Appellate Jurisdiction)

PRESENT:

Justice Shahid Waheed
Justice Naeem Akhter Afghan
Justice Malik Shahzad Ahmad Khan
Justice Aqeel Ahmed Abbasi
Justice Shakeel Ahmad

Civil Appeal No. 1227 of 2014

(Against the judgment dated 23.01.2014 passed by the Peshawar High Court, Peshawar in Tax Reference No. 114/2006)

Commissioner Inland Revenue (Legal), LTU, Islamabad & another
...Appellants(s)

Versus

M/s Syntronics (Ltd), Khyber Pakhtunkhwa

... Respondent(s)

For the Appellant(s): Ms. Farhat Zafar, ASC

For the Respondent(s): Qazi Isaac Ali, ASC

Assisted by: Ms. Zainab Bashir, Judicial Law Clerk

Date of Hearing: 20.02.2026

JUDGMENT

AQEEL AHMED ABBASI, J.- This larger bench has been constituted on the orders of the Honourable Chief Justice pursuant to an order dated 15.01.2021 passed by a three-member bench of this court in the instant Civil Appeal to decide as to whether the term "Stock-in-Trade" would include "the generators that are installed as part of machinery of the company such as the respondent- assesses." The reason for constitution of larger bench has been detailed in the aforesaid order in the following terms;

"The impugned judgment follows the rule laid down in the judgment of this court reported as Attock Cement Pakistan Ltd. vs. Collector of Customs, Collectorate of Customs and Central Excise, Quetta and others (1999 PTD 1892) which has, in paragraph 10 thereof, concluded that "plant and machinery would be construed as stock in trade". Prime facie, this conclusion does not flow from the definition relied in the said judgment at the start of its paragraph 10. Question No.1 framed in the leave granting order dated 09.09.2014 invites the Court to examine whether the said judgment ought to be reconsidered to decide if the term 'stock in trade' would include "the generators are installed as part of the machinery of a company such as the respondent-assessee". As the said judgment is authored by

a learned three Member Bench, therefore, a larger Bench should consider the questions posed. The office is, therefore, directed to place the matter before the Hon'ble Chief Justice for appropriate orders."

2. Before we proceed to dilate upon the legal issue referred before this larger bench, it is relevant to refer to order dated 09.09.2014 passed in the instant matter by a three-member bench of this Court, whereby, leave was granted to consider, *inter alia*, the following questions;

"i. whether the observations and findings of this court in the case titled *Attock Cement Pakistan Ltd. vs. Collector of Customs, Collectorate of Customs and Central Excise, Quetta and others (1999 PTD 1892)* need to be re-examined to determine if generators generically can be termed as "stock in trade" even where the generators are installed as part of the machinery of a company such as the respondent-assessee;

ii. whether the respondent-assessee was entitled to import the generator in question (1100 KVA) without payment of sales tax and if sales tax has been paid under some misunderstanding of law, the respondent is entitled to claim refund of the same based on the ratio of the case titled *M/s Pfizer Laboratories Ltd vs. Federation of Pakistan and others (PLD 1998 SC 64)*;

iii. whether the High Court was justified in holding that the refund claimed was not time barred;

iv. the effect of notifications (a) SRO No.578 (I)/98 dated 12.6.1998 (b) SRO No. 25(I)/98 dated 17.1.1998 and (c) SRO No.987(I)/98 dated 30.8.1999, on the question of liability of payment of sales tax by the respondent-assessee."

3. Above Civil Appeal has been filed against the judgment of the Division Bench of the Peshawar High Court, Peshawar ("**Peshawar High Court**") in Sales Tax Reference No.114 of 2006 wherein the following questions of law were referred for decision by the High Court: -

1. Whether under the facts and circumstances of the case the Honourable Tribunal was not erred for denying input adjustment or refund of tax paid on 1150 KV diesel generator imported vide B/E 53371 dated 15.12.99 and whereafter installed as plant and machinery as an alternate source of electrical energy for use in

manufacturing of their products hermetically sealed block bottom cement sacks.

2. Whether under the facts and circumstances of the case timely and rightly adjusted input tax credit and reversal thereof on the behest of the auditor shall be hit by time bar?

3. Whether under the facts and circumstances of the case acquisition of plant and machinery (Generator) classified under PCT Heading 8502.1390 with regard input tax refund shall be dealt with Section 66 or Section 10 of the Act and whether any time limit does exist under Section 10 of the Act?"

4. The Peshawar High Court after hearing the parties at length while placing reliance on the case of Attock cement Pakistan Ltd. vs. Collector of Customs, Collectorate of Customs and Central Excise, Quetta and others (1999 PTD 1892) passed by a three-member bench of this court has given its opinion on Question No.1 in the following terms: -

*"Accordingly, for the reasons stated hereinabove, input tax adjustment on Generator, which were used for the manufacturing purpose can be adjusted in the output tax of the petitioner, as it does not fall within the mischief of SRO No.578 (I)/98 dated 12.6.1998. **Question No.1 is answered in positive.**"*

Similarly, the Question No.2 has been answered as under:-

"As question of law No.1 above, has been answered in the positive, this question of law has become redundant and need not be answered"

However, the Peshawar High Court did not record its opinion on Question No.3 in absolute terms but instead answered the said question in the following terms: -

"As this Referee Court has opined in the positive regarding Question of law No.1, it would appropriate that the claim of input adjustment of Rs. 1,020 Million made by the present petitioner be revisited by the Collector, in view of 1st proviso to section 66 read with section 14 of the act and the guide lines provided under STGO No.2 and SRO No.978. Rendering an opinion on the issue of limitation, without providing an opportunity to the Revenue to consider the same, would surely be premature and prejudice the claim of the parties and thus not appropriate."

In nutshell the reference filed by the respondent was decided in favour of the respondent-assessee and against the department who being aggrieved by such judgment had filed a Civil petition for leave to Appeal under Article 185(3) of the Constitution of Islamic Republic of Pakistan, 1973 with the prayer to grant leave to appeal against the said judgment of the Peshawar High Court dated 23.01.2014 passed in Sales Tax Reference No. 114 of 2006. Leave was granted vide order 09.09.2014 whereafter notices were issued to the respondent in respect of proposed questions however, on 15.01.2021, the matter was referred to a larger bench of this court to consider the questions proposed in the instant Civil Appeal.

5. Learned Counsel for the Appellants has submitted that the impugned judgment passed by the Peshawar High Court has not taken into account the provisions of section 8 of the Sales Tax Act, 1990 ("**Act of 1990**") and various SROs issued by the Federal Government from time to time relating to claim of input adjustment and refund of sales tax by a taxpayer and has also misinterpreted the term "stock-in-trade". According to learned Counsel for the appellants the generator and generating sets imported by the respondent were not exempt from payment of sales tax in terms of SRO.578(I)/98 dated 12.06.1998 therefore the input tax adjustment and the refund claimed by the respondent was rightly declined by the Deputy Collector (Refund) while holding that input tax adjustment on generators and generating sets was not allowed as per serial No.6 of SRO. 578(I)/98 dated 12.06.1998 read with section 8 (1)(b) of the Act of 1990, whereas, it was further held that claim is also time barred under Section 66 of the Act of 1990, accordingly the refund claim was, therefore, rejected. It has been further contended by the learned counsel for the appellants that the learned High Court has erred in law and fact while placing reliance on the judgment of Attock Cement *supra* as the facts of instant case are distinguishable, whereas, the interpretation of the term stock-in-trade depends upon the use of the goods i.e. plant and machinery imported by registered person for the purposes of production or manufacturing of a taxable supply. According to learned counsel in the case of Attock Cement *supra* this August Court while referring to dictionary meanings has been pleased to hold that machinery, including generator which is imported, installed, and used in the

manufacturing process would be considered as plant and machinery and therefore comes within the definition of the term "stock-in-trade". Learned counsel for the appellants submits that plant and machinery and generator used for industrial purposes constitute capital assets and therefore cannot be termed as stock-in-trade. While concluding her arguments learned counsel submits that the controversy in hand has been elaborately decided by the Custom, Excise, Sales Tax Appellate Tribunal, Islamabad Bench-I, after proper appraisal of facts and interpretation of relevant SRO's according to which the respondent was not entitled to claim input adjustment or refund in terms of SRO. 578 (I)/98 dated 12.06.1998. It has been therefore prayed by the learned counsel that the impugned judgment passed by Peshawar High Court in Tax Reference No. 114/2006 may be set aside and the question proposed through instant civil appeal may be answered in favour of the appellants.

6. Conversely, learned counsel for the respondent has supported the impugned judgment passed by the Peshawar High Court and has vehemently opposed the contentions of the learned counsel for the appellants. It has been contended by the learned counsel that the learned High Court has rightly appreciated the relevant provisions of the Act of 1990 and the SRO's issued by the Federal Government relating to claim of input tax adjustment and exemption available to the generator and generating sets imported by the respondent. According to learned counsel, the sales tax is imposed on taxable supplies made by registered person, whereas, the value of the taxable supplies depends upon the concept of value addition, wherein, the registered person is entitled to claim input tax adjustment paid or payable during the tax period for the purposes of taxable supplies made, from the output tax in terms of section 7 of the Act of 1990. According to learned counsel, since the respondent paid sales tax at the time of import of generator which was admittedly used for the purposes of generating energy and to operate the plant and machinery for producing taxable supplies, therefore, the respondent is entitled to claim the input tax adjustment of sales tax paid at import stage from the output tax in terms of SRO 25(I)/98 dated 17.01.1998, which according to learned counsel, provided exemption from payment of sales tax on the

generators and generating sets. While concluding his arguments, the learned counsel submits that the learned High Court of Peshawar has rightly placed reliance on Attock Cement *supra*, and concluded that the tax authorities have wrongly disallowed the refund claim by the respondent in respect of the amount of sales tax paid at the import stage due to mistake whereas the generator imported by the respondent for the purposes of operating the plant and machinery to produce taxable supplies is part of plant and machinery and thereby comes within the definition of stock-in-trade. It has been prayed by learned counsel that instant civil appeal filed by the Tax Authorities has no merits and it may be dismissed and the question proposed may be answered against the appellants and in favour of the respondent.

7. We have heard the learned counsel for the parties, perused the record and have also examined the question of law referred to this larger bench for its decision in the light of relevant provisions of Sales Tax Act 1990 and the relevant SRO's, keeping in view the ratio of a judgment of this Court in the case of Attock Cement *supra*. The precise controversy relates to determine as to whether generators generically can be termed as stock-in-trade even when they are installed as part of plant and machinery of a company. In order to decide the above controversy, reference to the peculiar facts and the scheme of the Sales Tax Act, 1990 has to be made.

8. Briefly, the relevant facts as recorded by the Peshawar High Court are that the respondent imported Caterpillar Diesel Generator weighing 14.3 MT, model 3512 TA being plant and machinery falling under Chapter 5 of the Ist Schedule to Customs Act, 1969, having an output capacity of 1150 KVA against Bill of Entry No.53371, having total CNF price US \$ 128,500. Respondent paid sales tax of Rs.1.020 million on clearance of the generator. The said amount was adjusted by the respondent in computing the output tax in its monthly returns. The installation certificate was issued by the revenue authorities, confirming that the generator was actually installed at the industrial unit of the respondent and was in running condition. The respondent subsequently reversed the adjusted input tax in his revised returns of sales tax for December 1999. Thereafter, respondent filed an application for refund of 1.020

million on the ground that sales tax paid at import stage, irrespective of the fact whether exempt or payable, once paid, the respondent was entitled to claim input adjustment under section 7 of the Act of 1990. Whereas, it was further claimed that in terms of entry number 44 read with SRO 987 (I)/98 dated 30.08.1999, the consignment of generator as referred to hereinabove was exempt from payment of sales tax. The revenue authorities did not accept such contention of the respondent and issued show cause notice to the respondent by confronting that input tax adjustment on generator and generating sets was not allowed in view of entry at serial No.6 of SRO 578(I)/98 dated 12.06.1998, and further, the claim was inadmissible as it was time barred under section 66 of the Act of 1990. The respondent being aggrieved by order-in-original No. 31/2005 passed by the Deputy Collector (Refund), preferred an appeal before the Collector, Customs, Sales Tax & Federal Excise (Appeals), Peshawar who also dismissed the appeal of the respondent on the same grounds as mentioned in the order-in-original. Respondent being aggrieved by aforesaid orders filed an appeal before the Customs, Excise and Sales Tax Appellate Tribunal Islamabad Bench-I. However, the Tribunal, vide judgment dated 29.08.2006 has confirmed the decision taken by the two authorities below and rejected the claim of the respondent seeking input adjustment or the refund of the amount of sales tax paid at import stage on generator imported by the respondent for the purposes of generating the energy and to manufacture the taxable supplies i.e. polypropylene sacks for which custom duty as well as sales tax on import was exempt under SRO 25 (I)/98 dated 17.01.1998. The respondent still being aggrieved by the order passed by the Tribunal, filed a reference under section 47 of the Act of 1990 before the High Court, Peshawar and raised three questions of law, however, since the Peshawar High Court has given its opinion on Question No.1, only whereas, the question proposed before this bench also relates to the controversy as reflected in the said question, therefore, we will record our opinion by examining the term stock-in-trade as interpreted in the case of Attock Cement *supra*.

9. Since it has already been observed that this Larger Bench has to interpret the term stock-in-trade keeping in view the

peculiar facts, the relevant SROs, the provisions of the Act of 1990 and the reasoning as recorded by this Court in the case of Attock Cement *supra*, therefore, we deem it appropriate to find out the meaning of the term stock in trade. Admittedly, the term "stock in trade" has not been defined under the Sales Tax Act 1990 or Sales Tax Rules, 2006, therefore in the normal course, reference to the ordinary dictionaries is made to find out the meaning of a particular term. However, if a term is used with particular reference to any special law i.e. taxation law or commercial laws, then the safe course for defining such term is to seek assistance from some legal dictionary, dictionary of taxation and commercial laws. Further assistance can also be sought from the judgments of this Court or from the judgment of any other common law jurisdiction, if any. On examination of the judgment rendered in the case of Attock Cement *supra* it has been observed that the learned bench of this Court has referred to five dictionaries to find out the meaning of the term stock in trade, however without reference to context in which it is used.

10. From perusal of the meaning of term stock in trade relied upon in Attock Cement *supra* it has been observed that in Black's Law Dictionary, the Shorter Oxford English Dictionary, Chambers English Dictionary and the Concise Oxford Dictionary of Current English, nowhere it has been defined that the generator imported for the plant and machinery, is stock in trade whereas, as per Websters Third New International Dictionary, the goods kept for sale by shopkeeper, the fittings and appliances of a workmen, the aggregate of things necessary to carry on a business and something held to resemble a standard equipment of a tradesman or business have been defined as stock in trade. The dictionary meaning of the term stock in trade, as referred in the case of Attock Cement *supra*, does not mention a generator installed to operate plant and machinery. The term, stock in trade, is primarily a commercial and trade term, which has legal and financial implications, depending on the context in which it is used. Therefore, it must be interpreted according to common business practice, unless a statute specifically defines it otherwise. It may be observed that the dictionaries including the one upon which reliance has been placed in the case of Attock Cement *supra* list multiple meanings including figurative meanings whereas, the Court is required to apply the commercial

meaning to interpret the term with reference to context and in its correct perspective. The Courts may not lose sight of peculiar facts and circumstances and the law wherein any term has been used, while interpreting any term which is not defined under the statute, more particularly when the actual meaning of the term depends upon certain eventualities according to which such term can be defined through process of interpretation for instance any good which in ordinary course of business is not available for sale and supply, however constitutes part of the assets or capital of a business cannot be termed as stock in trade in the common parlance of trade or business. However, if such good is available for the sale and supply then it will be treated as stock in trade and not as part of capital or asset of a business. This shows that in order to ascertain the actual meaning of a particular term used for commercial purposes, its definition is dependent upon its actual use, therefore, meaning drawn from an ordinary English dictionary will not serve the purpose and may result in incorrect interpretation of such term.

11. In order to ascertain the meaning of the term stock in trade, we must ascertain the specialized meaning of the term stock in trade with strict construction within the context of tax jurisprudence. Standard legal lexicons and dictionaries of business and accounting treat stock in trade as interchangeable with inventory. Oxford Dictionary of Business and Management, defines it as *"The goods or services that an organization normally offers for sale"*. The term is further elucidated in the said dictionary and the Oxford Dictionary of Accounting which treats stock in trade interchangeable with "inventory" and defines it as *"The products or supplies of an organization on hand or in transit at any time. For a manufacturing company the types of inventory are raw materials, work in progress and finished goods."* Moreover, Wharton's Law Lexicon defines it as *"Stock-in-trade means which a trade or a businessman deals, H. Mohammed & Co. v. CIT, (1977) 107 ITR 637"*. To ascertain the correct definition of stock in trade one must also apply functional test as well as principles of common law jurisprudence. We have laid our hands on judgments from different common law jurisdictions. Following principles emerge based on our analysis of common law jurisprudence that align with the present

case and we have drawn certain conclusions which are summarized hereunder:

(i). Stock in trade does not include plant and machinery which is an industrial apparatus of a business. ***Yarmouth v. France* [1887] 19 QBD 647** has made it clear that something that is not used for carrying on the business is not plant and that plant excludes stock in trade. It states that *"plant includes whatever apparatus is used by a businessman for carrying on his business—not his stock-in-trade which he buys and sells—but all goods and chattels, fixed or movable, which he keeps for permanent employment in his business."*

(ii). A similar conclusion can be drawn by a **functional test** as well. ***Benson v The Yard Arm Club Ltd.* 53TC67** sets out the test of whether an item is apparatus used in carrying on a business and is sometimes called the functional test. It is defined as; *"The functional test provides the criterion to be applied. Is the subject matter the apparatus or part of the apparatus employed in carrying on the activities of the business."* The functional test is to determine whether an asset functions as apparatus used in carrying on a business for instance an asset that functions as the business premises is not a plant and is not apparatus used in carrying on of a business. If the generators and generating sets are installed and used by a business, they are part of the industrial apparatus of the business and are plant and machinery and not stock in trade unless the company is in the business of trading generators. Shaw LJ said: **"a characteristic of plant appears to be that it is an adjunct to the carrying on of a business and not the essential site or core of the business itself."** It's self-explanatory that the generator which is part of plant and machinery is adjunct to the carrying on of business and not the essential site or core of the business.

(iii). Stock in trade is part of circulating capital of a business whereas plant and machinery are part of the fixed capital. The determining factor is the nature of the trade in which the asset is employed. According to Romer L.J. in ***Golden Horse Shoe (New) limited v Thurgood* [1934] 1 KB 548** the machinery with which a manufacturer makes the articles that he sells are part of his fixed

asset and not circulating asset. It reads as follows; *"The determining factor is the nature of the trade in which the asset is employed. The land upon which a manufacturer carries on his business is part of his fixed capital. The land with which a dealer in real estate carries on his business is part of his circulating capital. the machinery with which a manufacturer makes the articles that he sells are part of his fixed capital. The machinery that a dealer in machinery buys and sells is part of his circulating capital, as is the coal that a coal merchant buys and sells in the course of his trade."* The Indian Supreme Court in the case of **Assam Bengal Cement Co. Ltd. Vs. The Commissioner of Income-Tax, West Bengal (1955 AIR 89)** affirmed the ratio of Golden Horse shoe *supra*. Fixed capital is what the owner turns to profit by keeping in his own possession and circulating capital is what he makes profit of by parting with it and letting it change hands as held in **John Smith v Moore [1921] 12 TC 266**. Plant and machinery by definition are also fixed assets as Oxford Dictionary of Law defines it as; *"a category of tangible fixed asset used for carrying on a business"*. It can be concluded that plant and machinery (Generator and generating sets) in the instant case, are not used as goods for sale, rather they are fixed asset and hence not stock in trade which is a circulating asset or capital.

12. In the instant case the generator was admittedly imported to be installed as plant and machinery to generate power for its operation and to manufacture cement and was not for the purposes of sale in the market, therefore, was primarily a capital/fixed asset which could be treated as part of plant and machinery. Admittedly, the imported generator and generating sets were not used as goods, available for the purposes of sale in the market as taxable supplies, therefore, could not be treated as stock in trade. However, if generator(s) is imported for the purpose of sale and supply in the market, the same generator(s) will constitute as stock in trade of such business and will be shown in the trading account as per accounting principles. To summarize hereinabove discussion, it can be safely concluded that the term stock in trade cannot be defined in definitive terms merely by referring to ordinary dictionaries without reference to the context and the relevant law in which it is used. It has been observed that stock in trade has neither been defined under the Sales Tax Act 1990 or the Sales Tax

Rules 2006, nor has been defined under any dictionary in figurative terms therefore to understand the term stock in trade assistance has been sought from legal dictionaries and also from the caselaw in the above paras. As we have already noted that the term stock in trade is a commercial and trade term which has profound legal and financial implications depending on the context in which it is used whereas, its classification often shifts if looked from an accounting or commercial perspective. Sales tax is charged on taxable supplies based on value addition system, therefore, permits input adjustment of tax paid at the import stage or at the time of purchase of raw material used to produce a taxable supply from output tax.

13. In view of the foregoing analysis, we are of the firm opinion that the rule laid down in the case of *Attock Cement supra*, particularly its conclusion that plant and machinery would be construed as stock in trade is legally incorrect and requires reconsideration. This conclusion of *Attock Cement supra* was based on an over-extension of general dictionary meanings, erroneously conflating the industrial apparatus of a business with its circulating capital. Generators and generating sets that are installed as an integral part of machinery for manufacturing cement constitute fixed capital and cannot be termed as stock in trade which is a circulating capital as held in *Golden Horseshoe supra*. The impugned judgment, by mislabeling fixed capital as stock in trade has effectively neutralized the operation of section 8(1)(b) of the Act of 1990, rendering the power of the Federal Government to restrict input tax adjustments through SROs redundant. If everything used in a factory is deemed as stock in trade, that would lead to ***reductio ad absurdum***. Courts must distinguish between the goods and the apparatus and move away from archaic and figurative definitions to categorize heavy industrial machinery as stock in trade. Having considered the facts and by applying the principles of common law jurisprudence attracted in the instant case, we hold that the generators and generating sets imported to be installed with plant and machinery for the purpose of generating energy and to produce taxable supplies cannot be termed as **"stock in trade"**. Accordingly, the conclusion drawn in the case of *Attock cement supra* to this effect is erroneous in law and facts.

14. Having declared the interpretation of the term stock in trade in the case of Attock cement *supra* as erroneous in law and fact we would now venture to examine the claim of input adjustment and tax credit of sales tax paid by the respondent at the import stage in the light of the provisions of section 8(1)(b) of the Act of 1990 read with the relevant SRO's particularly SRO 578(I)/98 dated 12.06.1998. In order to ascertain as to whether the generators and generating sets imported for the purpose of generating power and to produce taxable supplies the respondent is entitled to claim tax credit or input adjustment of the amount of sales tax paid at the import stage, we have to examine the provisions of section 8 (1)(b) and the relevant SRO 578(I/98) which deal with the situation in hand. From perusal of section 8 (1)(b) of the Sales Tax Act 1990 it is clear that Federal Government has the authority to notify in the official gazette the goods and services in respect of which a registered person would not be entitled to reclaim or deduct input tax paid on such goods. In the instant matter the Federal government issued an SRO 578 (I)/98 dated 12.06.1998 in the following terms:

S.R.O.578(I)/98.- In exercise of the powers conferred by clause (b) of sub-section (1) of section 8 of the Sales Tax Act, 1990, and in supersession of Ministry of Finance and Economic Affairs' Notification No. S.R.O.1307(I)/97, dated the 20th December, 1997, the Federal Government is pleased to specify that the following goods acquired otherwise than as stock in trade by a registered persons to be the goods in respect of which input tax shall not be claimed, namely:-

- (1) Vehicles falling in Chapter 87 of the First Schedule to the Customs Act, 1969 (IV of 1969).*
- (2) Building materials.*
- (3) Office equipment (excluding electronic fiscal cash registers), furniture, fixture and furnishings.*
- (4) Electrical and gas appliances excluding those purchased for use in taxable activity.*
- (5) Telecommunication equipments.*
- (6) Generators and generating sets, excluding generators and generating sets of 250KVA or above, acquired by a registered*

manufacturer for use in manufacture of taxable supplies.

(7) Wires and cables and ordinary electrical fittings.

(8) Crockery, cutlery and utensils, etcetera. excluding those purchased for providing taxable services

(9) Supply of food, beverages, garments, fabrics, etcetera and consumption on entertainments.

(10) Gifts and give-aways.

(11) P.O.L. products other than oil, lubricants and greases.

2. This Notification shall take effect from the 1st day of July, 1998.

15. According to aforesaid SRO various goods acquired other than as stock in trade by a registered person to be the goods in respect of which input tax shall not be claimed, which includes the generators as detailed at Serial No.6 of said SRO (as substituted by Notification No.SRO 677(I)/2000) dated 28.09.2000 which reads as follows:

"6. Generators and generating sets, excluding generators and generating sets of 250KVA or above, acquired by a registered person for use in manufacture of taxable supplies."

As per language of the above SRO the Federal Government while exercising powers under section 8(1)(b) of the Act of 1990 has been pleased to specify the goods in respect of which input tax shall not be claimed, provided such goods are acquired otherwise than as stock in trade. For the purposes of controversy in hand the generators and generating sets are included in such specified goods at serial No.6 of the above SRO, however, by excluding generators and generating sets of 250 KVA or above, which have been acquired for use in manufacture of taxable supplies. Resultantly, the generators and generating sets of 250 KVA or above acquired by a registered manufacturer for the use of manufacture of taxable supplies including the generator of 1150 KVA imported by the respondent in the instant case, are not included in the goods in respect of which input tax cannot be claimed. As we have already held that the generators and generating sets imported to be installed

as plant and machinery to generate energy for the manufacturing of taxable supplies i.e. cement, cannot be termed as stock in trade therefore, *prima facie*, tax credit or input tax adjustment cannot be claimed in respect of such generators and generating sets which in fact are fixed capital asset, constituting plant and machinery. Since the generators and generating sets are acquired as plant and machinery (otherwise than as stock in trade) in the instant case, therefore, the same are covered under the exclusion as provided at serial No.6 of the aforesaid SRO, hence not included in the goods in respect of which input tax cannot be claimed.

16. We may now examine as to whether the exclusion provided at Serial No.6 of the aforesaid SRO in the substituting SRO 677(I)/2000 dated 28.09.2000 would apply retrospectively to cover the import of generator and generating sets in the instant case particularly when the respondent has filed the refund claim on 12.08.2003 under section 66 of the Act of 1990 of an amount of Rs. 1.020 million as sales tax, paid at import stage on 15.12.1999 after a period of 30 months from the date of payment of such amount. It is pertinent to mention that respondent initially claimed the input tax adjustment of the aforesaid amount in the return for the month of December, 1999, however, in view of audit objection raised by the sales tax department disputing such claim of input tax adjustment on the generators imported by the respondent, they reversed the entries in the return filed on 13.02.2001. Subsequently, on 12.08.2003 the respondent filed claim of refund of aforesaid amount in view of the amendment made in SRO 578(I)/98 dated 12.06.1998 vide amending SRO 677 (I)/2000 dated 28.09.2000, whereby, the generators and generating sets of 250 KVA or above acquired by a registered manufacturer for use of manufacture in taxable supplies were excluded from the purview of the goods in respect of which input tax adjustment was not allowed. However, the Tax Authorities and the Customs, Excise and Sales Tax Appellate Tribunal, have denied the input tax adjustment as well as the refund claim, while holding that since the exclusion of generators and generating sets of 250 KVA or above was made pursuant to substituting SRO 677(I)/2000 dated 28.09.2000 therefore, the respondent was not entitled to claim any benefit pursuant to aforesaid SRO which would apply prospectively. It was further held that the respondent was not

entitled to deduct input tax for the purposes of taxable supplies made from the output tax because at the time of their claim, they were not entitled to deduct input tax in view of un-amended SRO 578(I)/98 dated 12.06.1998 as it existed at the time of import. The Peshawar High Court, however, without commenting as to whether the amendment made through SRO 677 (I)/2000 would be prospective or otherwise, has held that the generator that was admittedly imported, installed and made to use in the manufacturing process by the respondent would be considered as plant and machinery and thereby come within the definition of term **stock in trade**, hence, fall outside the mischief of the excluding provision provided under SRO 578 (I)/98. The aforesaid finding of the Peshawar High Court, declaring the generator imported by the respondent, as **stock in trade**, by placing reliance on the case of **Attock Cement supra**, has already been declared by this Court as erroneous in law and facts for the reasons detailed in herein above paras.

17. In this backdrop of the case in hand, we may now decide the legal issue involved in the instant matter as to whether the amending SRO No.677(I)/2000 dated 28.09.2000 would apply prospectively or otherwise. The Federal Government has been given authority under Section 8 (1)(b) of the Act of 1990 to exclude any goods acquired by a registered person, to be the goods in respect of which input tax shall not be claimed, and for such purpose various SRO's are issued from time to time, specifying such goods wholly or partially. At the time when the generator was imported by the respondent in the instant case, generators and generating sets, without disclosing the specifications, were excluded from the purview of claiming input tax. However, through amending SRO 677 (I)/2000 issued on 28.09.2000 the Federal Government further specified the generators and generating sets of 250 KVA or above (1150 KVA in the instant case) acquired by registered manufacturer for use in manufacture of taxable supplies, hence excluded such generators and generating sets from the purview of exclusion from claiming input tax adjustment. As per the scheme of law, the right to adjust input tax against output tax is the fundamental, substantive mechanism of value added tax (VAT) recognized under the Sales Tax Act, 1990. A Notification issued by the Federal

Government, or an amendment made in such Notification under section 8(1)(b) of the Sales Tax Act, 1990, which expands eligibility or eliminates an exclusion from claiming input tax adjustment, amounts to restoring such substantive right of a registered person. Consequently, such an amending Notification is treated as remedial and curative in nature, hence applies retrospectively to the pending cases. In the instant case, the Federal Government, through SRO 578(I), excluded certain goods, including generators and generating sets, from the purview of claiming input adjustment of sales tax. However, realizing that the original exclusion was creating unintended hardship to registered persons, the Federal Government issued another SRO No.667(I)/2000 dated 28.09.2002 whereby, a clarificatory and curative amendment was made at Sr. No.6 of SRO No.587(I) by excluding generators and generating sets of 250 KVA or above from the purview of exclusion under section 8(1)(b) of the Sales Tax Act, 1990, resultantly, extending benefit to the importers of generators and generating sets of 250 KVA or above installed with machinery to generate energy for manufacturing taxable supplies. The Federal Government in order to remove the anomalies existed in SRO No.578(I)/1998 made subsequent clarifications against various entries of the said Notification to differentiate between the items of ordinary nature and industrial nature for use in manufacture of taxable supplies. The intent of the Government is reflected through the Notification i.e., SRO No.501(I)/2003 dated 07.06.2003 which reads as follows: -

" GOVERNMENT OF PAKISTAN
MINISTRY OF FINANCE, ECONOMIC AFFAIRS,
STATISTICS AND REVENUE
(REVENUE DIVISION)

Islamabad, the 7th June 2003

**NOTIFICATION
(SALES TAX)**

S.R.O. 501(1)/2003.- In exercise of the powers conferred by clause (b) of sub-section (1) of section 8, Sales Tax Act, 1990, the Federal Government is pleased to direct that the following further amendments of be made in its Notification No. S.R.O. 578(1)/98 dated the 12th June, 1998, namely:-

In the aforesaid Notification, -

- (a) in serial No (4), after the word, "appliances" the words, "excluding those purchased for use in taxable activity" shall be inserted;
- (b) in serial No (7), after the word, "cables" the words "excluding those used for industrial purposes" shall be inserted; and
- (c) in serial No (8), for the words and brackets, "by the restaurants (including those located in hotels and clubs)"

the words "for providing taxable services" shall be substituted.

[C.No. 1/5-STB/2003] "

Through the aforesaid SRO at Serial No.4 of SRO NO.578(I)/1998 **the appliances purchased for use in taxable activities** have been excluded from the purview of aforesaid SRO whereas, at Serial No.7 **the cables used for industrial purposes** have also been excluded from the purview of aforesaid SRO, meaning thereby, the Federal Government intended to confer benefit on the items used for taxable supplies and items of industrial nature from the purview of exclusion from claiming input tax adjustment as per SRO No.578(I)/1998 issued under section 8(1)(b) of the Act of 1990.

18. It is pertinent to note that the respondent in the instant matter claimed input tax adjustment of the amount of sales tax in the sum of Rs.1.020 million paid at the import stage, in the monthly return at the relevant time and also sought carryforward of tax credit, but in view of the audit objection by the Tax Authorities, the return was revised. Later, pursuant to the amending SRO No.667(I)/2000, the Federal Government specifically excluded generators of 250 KVA or above from the purview of the exclusion in terms of SRO No.578(I)/1998 issued under section 8(1)(b) of the Sales Tax Act, 1990, the respondent thereafter applied for the adjustment/refund of the amount of input tax paid at the import stage, which was declined by the Tax Authorities as well as by the Custom Excise and Sales Tax Appellate Tribunal, by holding that, the amendment made through SRO No.677(I)/2000 is subsequent in time, therefore, it will apply prospectively. The respondent was claiming input adjustment of sales tax collected by the Tax Authorities at import stage, since very inception, even before issuance of amending SRO No.677(I)/2000, and continued to assert such claim through carryforward of tax credit, and eventually by filing a refund application pursuant to the amending SRO, and when such claim was declined by the Tax Authorities and the Custom Excise and Sales Tax Appellate Tribunal. The said orders have been further assailed by filing reference application before the Peshawar High Court and now before this Court through instant Civil Appeal. The claim of the respondent, therefore, cannot be treated as a past and closed transaction, rather the same would be

construed as pending proceedings. Therefore, the amending SRO No.677(I)/2000, which has extended benefit to the registered person, by specifically excluding the generators of 250 KVA and above (1150 KVA in the instant case) used to generate energy for the manufacture of taxable supplies (cement) is clarificatory and curative in nature, would apply retrospectively in the instant case.

19. In the case of Messrs Army Welfare Sugar Mills Ltd. & others versus Federation of Pakistan & others (1992 SCMR 1652) wherein, a three-member bench of this Court has held that a Notification which purports to impair an existing or vested right or imposes a new liability or obligation cannot operate retrospectively in the absence of a legal sanction, but a Notification which confers benefit can operate retrospectively. Similarly, in the case of Commissioner of Income Tax versus Shahnawaz Ltd. and others (1993 SCMR 73) a three-member bench of this Court while deciding the question as to whether remedial statutes can be given retrospective effect, while referring to Para 282 of the Crawford "Statutory Construction" (1940 Edn.) has held that a statute relating to remedial law may properly, in several instances, be given retrospective operation. They have further held that "*we are of the opinion that as the amendment in the instant case was introduced to redress an injury which in the words of Circular No.6 of 1973 (Income Tax) issued on 7th July, 1973 by the Central Board of Revenue itself was "designed to soften the law in favour of tax-payers who could previously be charged to additional tax up to the date of assessment even though the finalisation of assessment was delayed due to no fault of theirs."* This was a proper case in which retrospective operation, to the extent the High Court gave to it, could be given to the amending law." Reference can be made to Indian judgment of 5-member bench in the case of Commissioner of Income Tax-I, New Delhi vs Vatika Township Private Limited (2014) [367 ITR 446 SC] wherein, the Indian Supreme Court created an exception in the case of beneficial legislation and held as under:

"33. We would also like to point out, for the sake of completeness, that where a benefit is conferred by a legislation, the rule against a retrospective construction is different. If a legislation confers a benefit on some persons but without inflicting a corresponding detriment on some

other person or on the public generally, and where to confer such benefit appears to have been the legislators object, then the presumption would be that such a legislation, giving it a purposive construction, would warrant it to be given a retrospective effect. This exactly is the justification to treat procedural provisions as retrospective. In Government of India & Ors. v. Indian Tobacco Association[5], the doctrine of fairness was held to be relevant factor to construe a statute conferring a benefit, in the context of it to be given a retrospective operation. The same doctrine of fairness, to hold that a statute was retrospective in nature, was applied in the case of Vijay v. State of Maharashtra & Ors.[6] It was held that where a law is enacted for the benefit of community as a whole, even in the absence of a provision the statute may be held to be retrospective in nature..."

20. In view of hereinabove discussion, we have reached to a conclusion that the generator of 1150 KVA imported by the respondent in the instant case for the purposes of generating energy to manufacture taxable supplies (cement) is outside the purview of the exclusion as detailed at serial No.6 of the amended SRO 578 (I)/98 dated 12.06.1998 therefore, the importer was entitled to claim input adjustment of an amount of Rs.1.020 million paid as sales tax, from the output tax. The Peshawar High Court while interpreting the SRO 578 (I)/98 fell in error by treating the generator and generating sets as "**stock in trade**" and did not dilate upon the effect of the amendment made at Serial No.6 of SRO 578 (I)/98 through amending SRO 677 (I)/2000 to be prospective or otherwise. Since we have held that the generator imported by the respondent in the instant case does not fall within the definition of **stock in trade**, therefore, while disagreeing with the reasoning recorded by the Peshawar High Court, allowing input tax adjustment while treating the generator as stock in trade, we are inclined to hold that the input tax adjustment was available to the respondent in respect of the amount of sales tax paid at import stage against output tax however, for the reasons as recorded by us in hereinabove paras. Accordingly, the findings of the Tax Authorities and Customs, Excise and Sales Tax Appellate Tribunal, declaring the amendment made at Serial No.6 of 578 (I)/98 through SRO 677 (I)/2000 as prospective, is hereby declared to be erroneous in law and facts.

21. To conclude the instant matter, this Civil Appeal is partially allowed to the extent that the finding as recorded in the case of **Attock Cement** *supra* holding that “**plant and machinery would be construed as stock in trade**” is erroneous in law and facts. Consequently, reliance placed by the Peshawar High Court in the **Attock Cement** *supra* while treating the generator, admittedly installed to generate energy for use in manufacture of taxable supplies as, **stock in trade** is therefore, misplaced and contrary to law. Moreover, we are not in agreement with the orders passed by the Tax Authorities and the Customs, Excise and Sales Tax Appellate Tribunal, whereby, they have concluded that the amending SRO 677 (I)/2000 is prospective in nature and can not be given retrospective effect, and hereby declare that the amending SRO 677 (I)/2000 dated 28.09.2000, which confers a benefit to importer of generators of 250 KVA and above installed to generate energy for use in manufacture of taxable supplies, is curative and clarificatory in nature as it removes the anomaly while differentiating between **industrial generators** and **ordinary generators**, therefore, the same would be given retrospective effect and its benefit would be extended to imports made by the respondent in the instant case.

JUDGE

JUDGE

JUDGE

JUDGE

JUDGE

Announced in Open Court on _____ at _____

JUDGE

Islamabad
Approved for Reporting